

Asia, which had favored issuing *equities* throughout its economic boom of 1982-1992, finally recognized the ease with which capital could be acquired by printing IOUs. As a result, the Asian Development Bank and other institutions issued so-called "dragon bonds," for sale to foreigners. They became so desirable that the Chinese government in 1993 issued \$250m. worth, bringing the total market size since the first issue two years prior to \$3 billion. In late 1993, fund managers were even bidding up the price of bonds issued by Russia. In January 1994, the People's Republic of China registered its first bond offering since the Communist takeover of 1949 with the Securities and Exchange Commission (SEC). Fund managers eagerly awaited, and purchased, the entire billion dollar offering. It came in February, just in time to catch buyers at the manic secondary peak in junk bond prices. The worldwide debt craze (like the equity craze) has even found its way into the former workers' paradise, as Moscow banks have been fighting with each other to see who can issue the most credit cards. If the bull market psychology lasts any longer, Wall Street will probably securitize that debt as well.

Ironically, *stock market* euphoria has been helping sell weaker and weaker *debt* packages. For instance, beginning in late 1993, issuers of junk bonds once again began attaching equity warrants to the bonds, a tactic of the go-go mid-1980s. Purchasing these singular securities is a bet that the company, already a riskier proposition than usual due to the junk status of its bonds, will do so well that not only will the bonds pay off, but the stock will rise high enough to make the *warrants* pay off. This time, however, it is the junk bond mutual funds owned by the public that are buying them, not high rolling professionals. "Clearly," says one analyst, "they are often an inducement to buy a deal you might not buy in its own right." I suppose the ancient tribal Hawaiians who stood on the sidelines as the chosen one jumped into a volcano felt just a *bit* as if they were missing out on something, but it is hard to imagine that they clambered all over themselves to join him.

"This amount [of junk bond mutual fund buying]," said *The Elliott Wave Theorist* in late January 1994, "will surely stand as a record for years to come." As Figure 15-2 shows, the inflow in 1994 indeed retreated along with the erosion of prices, but has still been racing along at a level equal to the most intense year of the 1980s. Memorize *this* scenario as well, because the same passionate conviction that a golden opportunity has arrived will characterize the first major rally of the coming bear market in *stocks*.